

Supplier Terms and Conditions Policy

1. Payment Terms

Payments for supplied goods are due within 45 days from the invoice date. Early payment discounts of 2% apply if payment is made within 15 days. Late payments beyond 60 days incur a 5% penalty fee on the outstanding balance. All payment disputes must be reported within 10 business days to the accounts payable department.

2. Order Quantities and Limits

Minimum order quantities (MOQ) must be respected as per contract terms, with a standard MOQ of 100 units per product. Maximum order quantities (MaxOQ) are capped at 10,000 units per month to ensure consistent supply. Requests for exceptions require documented approval and are subject to supplier capacity.

3. Lead Time Commitments

Suppliers are required to maintain an average lead time of no more than 10 calendar days. In case of delays exceeding 20% of the agreed lead time, suppliers must notify purchasing within 48 hours. Chronic lead time breaches will trigger review and potential contract penalties.

4. Quality Assurance and Acceptance

All shipments must comply with defined quality standards. Goods received with defects exceeding 1% of order volume will be rejected. Suppliers must provide inspection certificates with each delivery. Disputed quality issues must be resolved within 30 days through joint inspections.

5. Return and Replacement Policy

Defective or non-conforming products are accepted for return within 15 days after receipt. Replacement shipments must be executed within 10 business days from return approval. Returns exceeding five percent of monthly orders may result in supplier review and corrective action plans.

6. Confidentiality and Data Security

Suppliers must comply with confidentiality agreements protecting all supply chain data. Information sharing is restricted to authorized personnel and secured through encrypted communication channels. Breaches of confidentiality will result in immediate contract review.

7. Compliance with Regulatory Requirements

Suppliers are responsible for meeting all applicable local, state, and federal regulations regarding environmental, labor, and safety standards. Non-compliance could lead to suspension or contract termination. Certificates of compliance must be updated annually.

8. Contract Renewal and Termination

Contracts are subject to annual review and automatic renewal unless notice is provided 90 days prior to expiration. Termination for cause requires 30 days notice with documented non-performance. Suppliers may

propose amendments during the renewal process for mutual agreement.